AERCHAIN

TECHNICAL & COMMERCIAL PROPOSAL

Autonomous Sourcing Solution

for Al-Futtaim Group

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Classification	STRICTLY CONFIDENTIAL

SECTION 1

Introduction & About Aerchain

1.1 Who We Are

Aerchain is an AI-native autonomous procurement platform purpose-built for enterprise complexity. Founded in 2019 and headquartered in Bengaluru, India, Aerchain was architected from day one around agentic AI — multi-agent orchestration that manages procurement from intake through to award with minimal human intervention.

Aerchain connects natively with enterprise ERP systems — including SAP S/4HANA and SAP Ariba — as the baseline system of record, while providing an integrated, cloud-based Autonomous Sourcing platform on top. AFG's existing SAP investment is preserved and strengthened, not replaced.

Credential	Detail
Founded	2019 | Bengaluru, India
Leadership	Harsha Kadimisetty (CEO) | Himavanth Jasti (CTO)
Financial Status	Profitable & cash-flow positive | $13M Series A closing (Pavestone VC lead, Infosys strategic investor)
Enterprise Customers	40+ active enterprise customers (35+ direct, non-BPO)
Spend Processed	$45B+ annually across customer base
GCC Presence	Active — Emirates Global Aluminium (EGA) implementation currently underway in the GCC
Multi-Currency Support	All GCC currencies supported with 3+ decimal precision (OMR, KWD, AED, SAR, EGP, QAR)
Data Residency	AWS multi-region including AWS Middle East (UAE) region — data residency within UAE jurisdiction
Certifications	SOC2 Type II | ISO 27001 | GDPR-compliant

SECTION 2

Technical Proposal

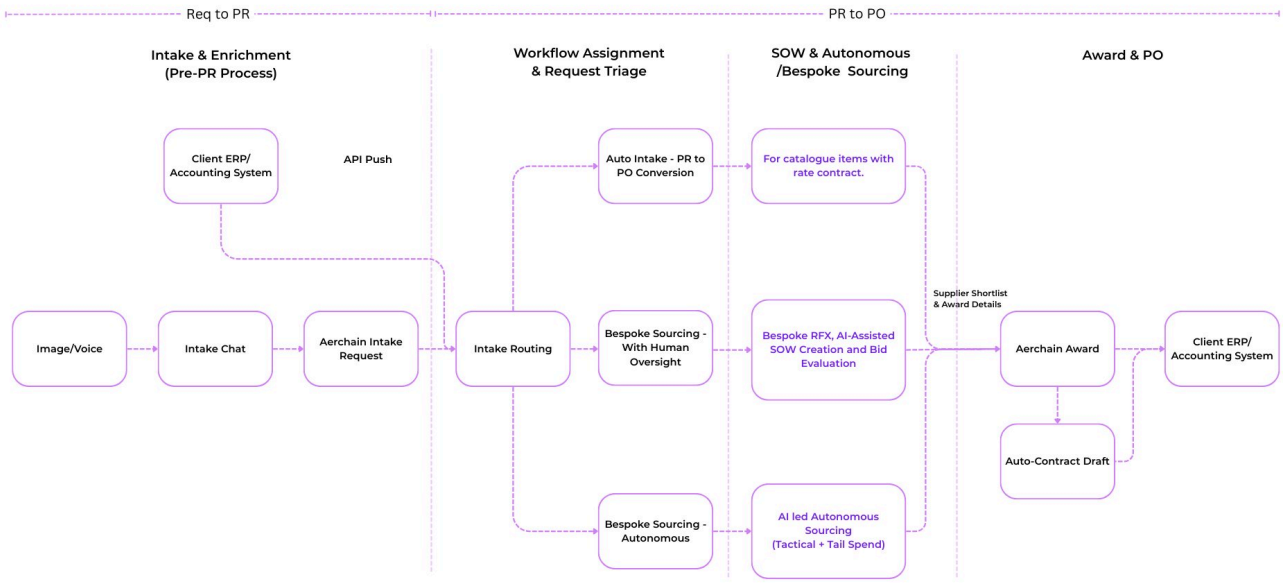
2.1 Aerchain's Bid Scope for AFG

> Aerchain is bidding specifically on the **Autonomous Sourcing channel** — all non-catalog, non-contracted procurement transactions below **$100,000 USD** routed through AI-driven sourcing, negotiation, and award. This is the highest-volume, highest-leakage segment of AFG's procurement landscape, and the area where Aerchain delivers the most immediate and measurable value.

Aerchain operates as the AI Orchestration and Intelligence Layer above AFG's existing SAP environment — connecting to SAP S/4HANA and SAP Ariba as the system of record, while handling all intake, classification, supplier selection, autonomous negotiation, and award recommendation through its cloud-based platform. AFG's SAP investment is preserved and extended, not replaced.

2.2 End-to-End Sourcing Flow

The diagram below illustrates Aerchain's end-to-end procurement journey — from initial request intake through to award and ERP sync — mapped across AFG's three primary routing scenarios:



Aerchain End-to-End Autonomous Sourcing Flow — Req to PR to PO

2.3 Policy & Orchestration Agent — AFG Routing Logic

Every transaction entering Aerchain is evaluated by the Policy & Orchestration Agent against AFG's hierarchical decision tree. For transactions below $100,000, the agent determines the optimal automation path without human intervention:

Scenario	Routing Decision	Aerchain Action
Catalog item — any value	**Auto Intake: PR-to-PO**	Direct requisition creation; PR pushed to SAP via API in <2 minutes
Rate contract / preferred supplier available	**Auto Intake: PR-to-PO**	Aerchain matches to contracted supplier; PR created automatically
No catalog / no rate contract — <$100K	**Autonomous Sourcing**	AI-generated RFx, supplier selection, bid evaluation, autonomous negotiation, award recommendation
Complex / strategic — >$100K	**Bespoke Sourcing with Human Oversight**	Routed to AFG category manager; Aerchain provides AI-enriched specifications and supplier shortlist

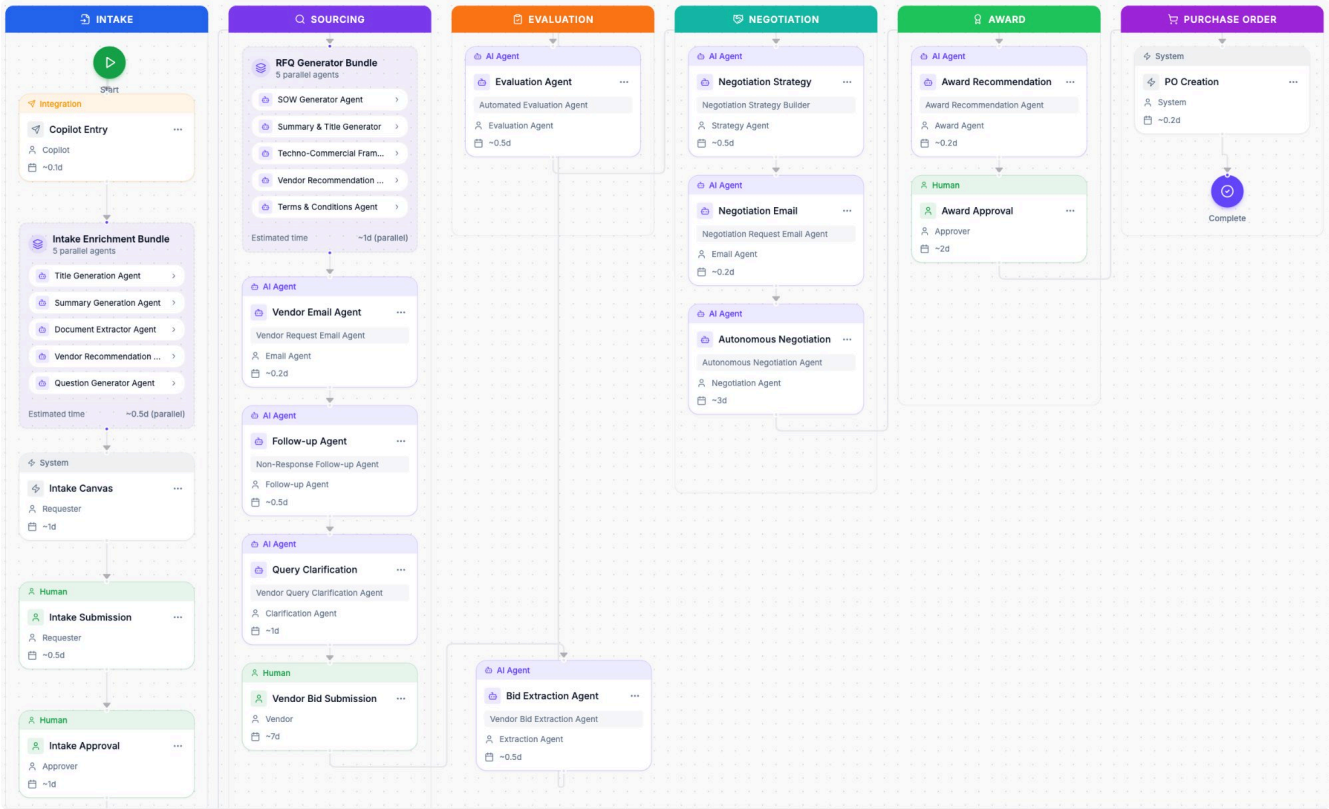
2.4 AI Agent Architecture — Five Agents, One Platform

Aerchain's agentic architecture deploys five specialized AI agents that collaborate through a structured inter-agent communication protocol. Each agent passes a structured data package — Transaction ID, Context, Payload, Status, and Audit Trail — ensuring complete traceability at every step.

Agent	Role & Capability
Policy & Orchestration Agent	The central routing brain. Evaluates every transaction against AFG's DOA matrix, preferred supplier status, spend threshold, and category rules. Determines automation tier and activates downstream agents.
Intake & Classification Agent	Converts unstructured requests into structured procurement specifications using NLP. Maps GL codes, cost centers, and AFG's category taxonomy automatically.
Supplier Selection & Sourcing Agent	Searches preferred supplier lists, extended databases, and external sources. Generates scored shortlists with compliance validation. Auto-generates RFx events including SOW, evaluation criteria, and cost structure.
AI Negotiation Agent	Conducts multi-round autonomous negotiations — price, lead time, payment terms, warranties. Powered by techno-commercial bid evaluation. Live at Diageo, ABInBev, Unilever, and NSE.
Requisition Creation Agent	Creates purchase requisitions in the SAP system of record via API. Applies correct company code, currency, and cost center. Syncs awarded supplier and terms back to SAP upon completion.

2.5 Agent Workflow in Action

The canvas below shows how Aerchain's agents execute each stage of the autonomous sourcing cycle — from intake enrichment through RFQ generation, vendor bid collection, AI evaluation, negotiation, and final award — with precise timing estimates per stage:



Aerchain Autonomous Sourcing Agent Workflow — Intake to Purchase Order

2.6 AFG-Specific Capability Mapping

AFG Requirement	Aerchain Capability
SAP integration (S/4HANA & Ariba)	Pre-built connectors for SAP S/4HANA and SAP Ariba across procurement, invoicing, and supplier management modules — no core SAP customization required
Multi-entity (260+ company codes)	Federated multi-tenant architecture; independent DOA matrices, policy rules, and supplier lists per entity with group-level consolidated reporting
Multi-currency support	All GCC currencies supported with 3+ decimal precision; real-time exchange rate handling for cross-currency bid normalization
Localization & regional compliance	Configurable workflows for regional procurement practices, approval hierarchies, and local compliance requirements across all AFG geographies

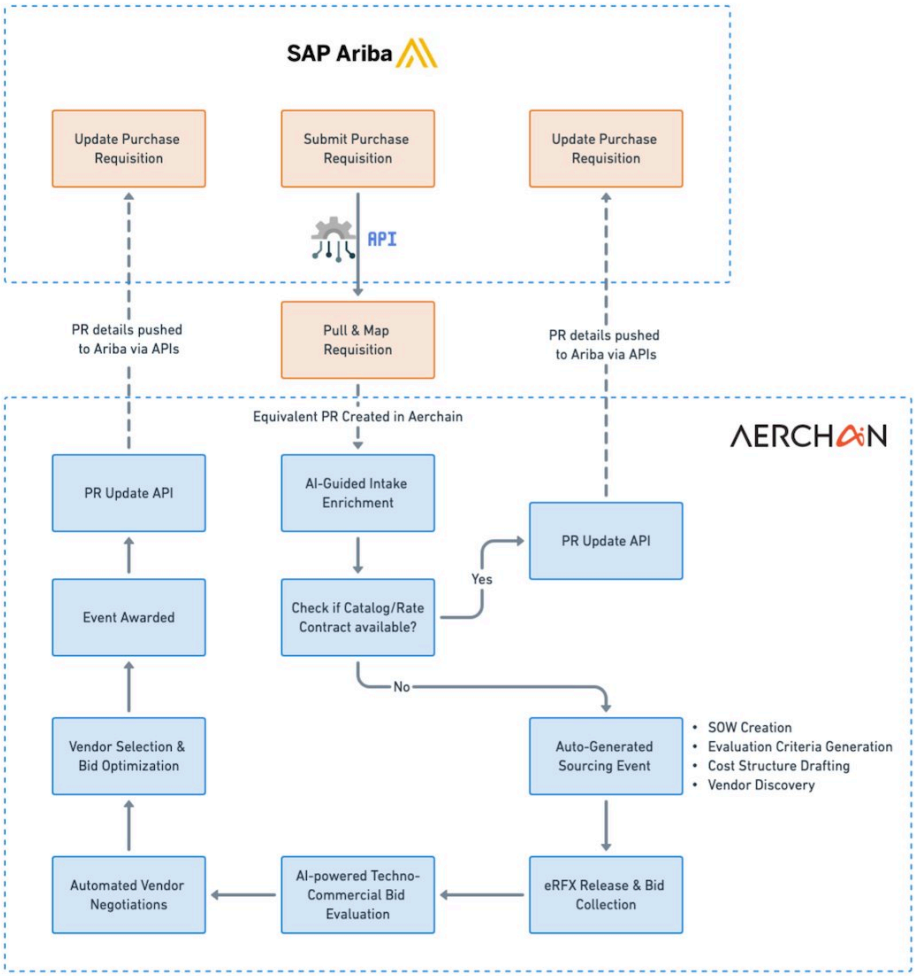
AFG Requirement	Aerchain Capability
Supplier base scalability	Platform scales to 500,000+ suppliers; no supplier access fees charged
Enterprise-scale user base	Horizontal auto-scaling architecture; async processing for peak load handling across all AFG entities
Security & governance	SOC2 Type II, ISO 27001 | AES-256 at rest | TLS 1.2+ in transit | RBAC with MFA | Immutable audit trail | All data hosted in AWS Middle East (UAE)

SECTION 3

Implementation & Integration

3.1 SAP Integration Architecture

The diagram below illustrates how Aerchain integrates with AFG's SAP environment — pulling purchase requisitions via API, enriching them through AI agents, and pushing results back to SAP upon award. The integration works across both SAP S/4HANA and SAP Ariba, with no core SAP customization required:



Aerchain ↔ SAP Integration Flow — API-based, no core customization required

70% of Aerchain's current customer base is SAP-integrated. Aerchain uses structured, API-based integration frameworks that require no core SAP customization, minimizing risk and implementation timelines. Pre-built connectors cover the full procurement cycle across both SAP S/4HANA and SAP Ariba modules.

SAP Module	Integration Approach
SAP S/4HANA	REST API for PR/PO execution, material master sync, GL/cost center mapping, and financial posting
SAP Ariba — Buying & Invoicing	API-based PR creation, catalog retrieval, and PO status sync — bidirectional
SAP Ariba — Guided Sourcing	API-based RFx event creation, bid import, and evaluation data sync for higher-value events
Supplier & Contract Data	Bidirectional sync of supplier profiles and contract data between Aerchain and SAP systems of record

3.2 16-Week Implementation Roadmap

Aerchain recommends a 16-week phased implementation prioritising rapid value delivery — starting with a controlled pilot that proves business impact before scaling across all AFG entities and countries.

Phase	Timeline	Activities	Deliverables
Discovery & Design	Weeks 1–4	SAP landscape assessment; ERP integration architecture design; DOA matrix configuration; spend data ingestion; user role mapping; channel routing rules design	SAP Integration Blueprint | Channel Design Document | Spend Analysis Report
Build & Configure	Weeks 5–10	Platform deployment on AWS Middle East; SAP API integration build and testing; workflow automation setup; supplier master data import; preferred supplier list load; UAT environment configuration	Configured Platform | Integration Test Report | User Training Materials
Pilot & Test	Weeks 11–13	Go-live with 1–2 pilot entities (recommended: automotive UAE); Tier 1–2 automation enabled; user acceptance testing; KPI validation against committed targets	Pilot Results Report | UAT Sign-off | Go-Live Readiness Assessment
Rollout & Hypercare	Weeks 14–16	Phased go-live across remaining entities and countries; full autonomous sourcing enabled; 24/7 hypercare support; performance monitoring and continuous optimization	Go-Live Completion | Hypercare Report | BAU Transition Plan

3.3 Wave-Based Category Rollout

Wave	Scope	Timeline	Target
Wave 1	Tail Spend (<$100K) — Autonomous Sourcing	Q2 2026	~40% of transaction volume; <5% manual touch rate

Wave	Scope	Timeline	Target
Wave 2	Indirect Categories — Expanded Autonomous Sourcing	Q3 2026	~70% of transaction volume; full AI negotiation active
Wave 3	Full Scope — All eligible entities and countries	Q4 2026	100% of autonomous sourcing scope; multi-country rollout complete

3.4 Delivery Team

Role	Responsibility
Aerchain Delivery Lead	End-to-end implementation accountability; AFG primary point of contact throughout
SAP Integration Architect	All SAP S/4HANA and SAP Ariba API integrations; deep enterprise ERP integration expertise
AI/ML Engineer	Agent configuration, LLM model tuning, negotiation model training on AFG data
UX / Localisation Lead	UI configuration, localization testing, end-user onboarding across AFG entities
Customer Success Manager	Named CSM from Day 1; 4-week hypercare post go-live; weekly governance calls

SECTION 4

Commercial Proposal

> **Scope:** Autonomous Sourcing channel only — all procurement transactions below $100,000 USD. This proposal covers platform subscription, implementation, and integration. Taxes are not included and will be applied as applicable per jurisdiction.

4.1 Pricing Structure

Aerchain proposes a transparent SaaS subscription model combined with a one-time implementation and integration fee. Both are billed at project kick-off.

Component	Amount (USD)	Notes
Platform Subscription — Year 1	**$450,000**	Annual recurring | billed at kick-off
Implementation & Integration (one-time)	**$600,000**	6-month delivery incl. 1 month hypercare
Year 1 Total Investment	**$1,050,000**	**Billed at project kick-off | Net 15**

Implementation fee breakdown: 80% Value Delivery & Implementation Services ($480,000) | 20% Dev/Tech Configuration ($120,000)

4.2 3-Year Total Cost of Ownership

Component	Year 1	Year 2	Year 3	3-Yr Total
Platform Subscription	$450,000	$495,000	$544,500	**$1,489,500**
Implementation (one-time)	$600,000	—	—	**$600,000**
Total	**$1,050,000**	**$495,000**	**$544,500**	**$2,089,500**

4.3 5-Year Total Cost of Ownership

Component	Y1	Y2	Y3	Y4	Y5	5-Yr Total
Platform Subscription	$450,000	$495,000	$544,500	$598,950	$658,845	**$2,747,295**

Component	Y1	Y2	Y3	Y4	Y5	5-Yr Total
Implementation (one-time)	$600,000	—	—	—	—	**$600,000**
Total	**$1,050,000**	**$495,000**	**$544,500**	**$598,950**	**$658,845**	**$3,347,295**

Subscription increases capped at 10% YoY. Year 4 and Year 5 figures shown for planning purposes.

4.4 Assumptions

- This proposal addresses tail and tactical spend automation only; upstream strategic sourcing, e-invoicing, and full P2P replacement are explicitly out of scope
- Pricing has been calibrated against AFG's stated parameters: 40–60 users across Y1–Y3, $700M–$800M annual spend under management, and approximately 2,000–3,000 POs per year
- All commercial figures are indicative and subject to finalisation upon written confirmation of user count, transaction volumes, geographic footprint, and integration scope
- POs are assumed to be issued in SAP S/4HANA; Aerchain will operate as the AI orchestration layer interfacing with AFG's existing SAP environment
- This proposal remains valid for 90 days from the date of submission

4.5 What's Included in the Annual Subscription

- No supplier access fees — all AFG suppliers access the platform at no additional cost
- Product upgrades, software maintenance, and cloud hosting — all included, no hidden fees
- One production instance + one non-production instance
- Dedicated Customer Success Manager from Day 1

4.6 Key Commercial Terms

Term	Detail
Subscription Commencement	12-month tenure starts from Implementation Kick-Off Date
Billing Date	Both one-time implementation fee and Year 1 subscription billed at project kick-off
Payment Terms	Net 15
Travel & Expenses	Charged on actuals; AFG pre-approval required prior to incurring costs
Taxes	Not included in above pricing; applicable taxes charged separately per jurisdiction

Term	Detail
YoY Subscription Increase	Capped at 10% per annum
Scope	Autonomous Sourcing channel only — transactions below $100,000 USD